DAS COMPETITION PROBLEM **DEFINITION**





What Makes

A GOOD **STARTUP**

- **Acute problem**
  (solution is a painkiller, not a vitamin)
- **Customer demand for a solution**
  (competition is validation!)
- Significant market size
- **Founder-Market fit**
  (right team)
- Scalable solution





THE SUCCESS OF A STARTUP

Depends on solving a real and valuable problem.

Identifying the right problem ensures market demand, customer satisfaction, and sustainable growth.

BENEFITS



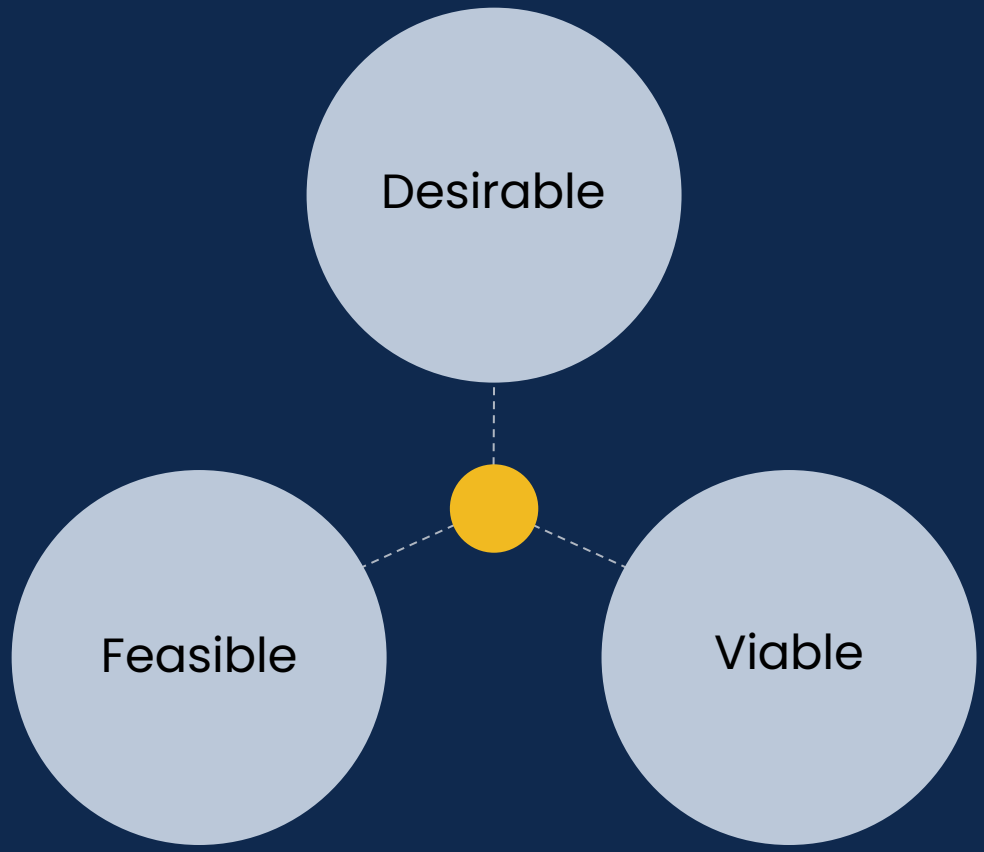
Guides strategic decision-making based on customer insights.

Increases the likelihood of product-market fit and sustainable growth.

Saves time and resources by focusing on high-potential opportunities.

WHAT'S **A GOOD PROBLEM TO SOLVE**

- How does the user currently solve the problem?
- How happy are they with current solution?
- How important is it to solve this problem?
- Does user currently pay to solve the problem?
- Is your solution a **vitamin** or a **painkiller**?



STEP 1

PROBLEM **VALIDATION**



- Gather feedback through surveys, interviews, or focus groups.
- Understand the severity and urgency of the problem from the customer's perspective.
- How are people currently solving this problem?

STEP 2

MARKET **SIZE & COMPETITION**

- Analyze the market size and growth potential.
- Evaluate the competition and potential barriers to entry. How are they solving the problem? What are their strengths and weaknesses?
- Consider factors like market saturation and customer acquisition costs.
- Choose problems with a sizable market and room for your startup to thrive.



STEP 3

TEAM **ALIGNMENT**

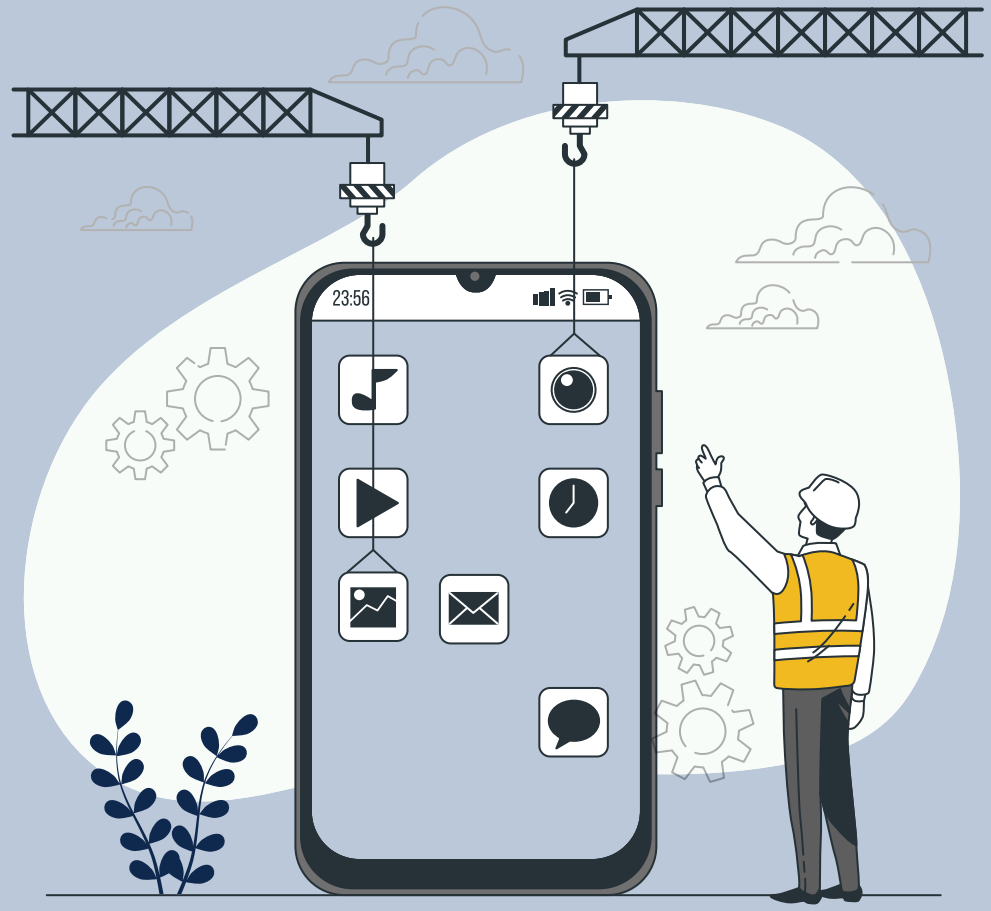
- Assess your team's skills, expertise, and interests.
- Identify the problems that align with your team's capabilities.
- Consider the resources, technology, and network available to your team.
- Choose a problem that your team is passionate about and has the capacity to solve.



STEP 4

VALUE **PROPOSITION**

- Develop a strong value proposition for the problem.
- Identify the unique benefits and advantages your solution can offer.
- Consider the potential value it brings to customers and the market.
- Choose a problem that allows you to create significant value and differentiation.



STEP 5

FEASIBILITY

- Evaluate the feasibility of solving the problem.
- Assess technical requirements, resource availability, and potential challenges.
- Consider factors like cost, time, and regulatory constraints.
- Choose a problem that is feasible for your team to solve effectively.



STEP 6

IMPACT & SCALABILITY

- Assess the potential impact of solving the problem.
- Determine if it can create significant value and have a lasting impact.
- Consider scalability and growth potential for your solution.
- Choose a problem that allows your startup to scale and expand.



STEP 7

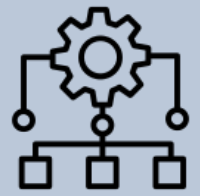
TIMING



Consider the timing of the problem.



Evaluate if it's the right time for your solution in the market.

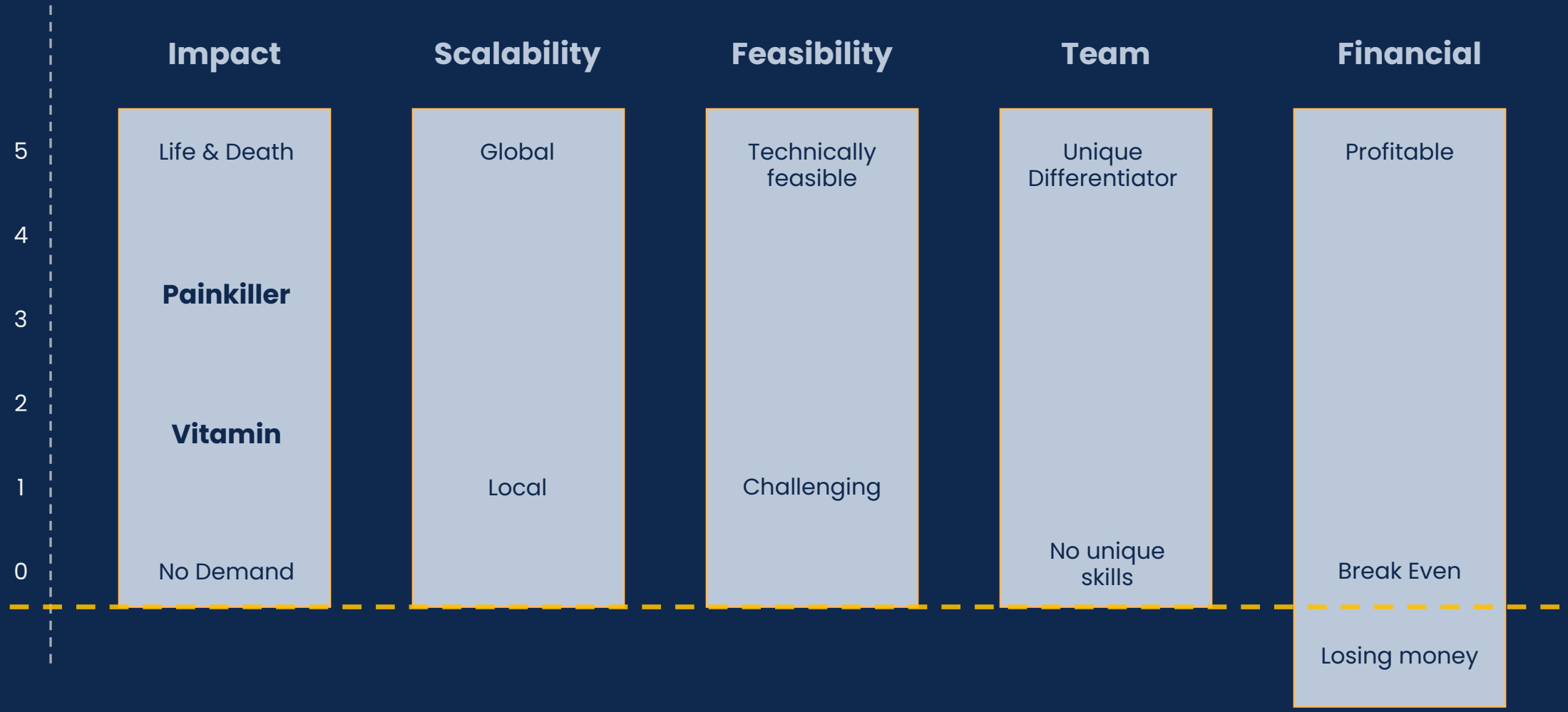


Assess the lifecycle stage of the problem and its market dynamics.



Choose a problem that aligns with the current market needs and trends.

EVALUATING **OPPORTUNITIES**



KICKSTARTING **STARTUP IDEAS**

- Start with a problem you have personally experienced
- What is something you personally wish existed?
- What has changed in the world recently?
- What are you good at?
- What would be a compelling variation on an existing successful company?



DAS COMPETITION
RESOURCES





Problem Framing

Who is affected?

Overview

- Identify the people who are affected by this problem and understand their motivations

30 minutes

Paper

Instructions

Your user should be at the center of every step of the innovation process. If the user's needs are not understood and met, any solutions you develop will fail. There are also additional people who can determine the success or failure of a project. It is important to outline the motivations of all people who are affected by your identified problem area, and ensure that you take them into consideration as you frame your problem.

1. List all of your **stakeholders**, or people who are affected by this problem and any potential solution that you come up with. These people can include:
   - **User**: Who is affected by the problem and what are their needs?
   - **Customer**: Who could pay to help you address this problem? This might not be your user.
   - **Communicators**: Who provides the primary communication channel to reach your users / customers?
   - **Distributors**: Who provides the primary physical channel to reach your users / customers?
   - **Competitors**: Who is already trying to address your user's needs?
   - **Local leadership**: What local leaders are key stakeholders in this problem area?
2. Briefly outline the each stakeholder's needs and motivations.

Exploring the needs of every last stakeholder can take a very long time. Instead, it will be helpful to identify your key stakeholders - those who will be able to help you to succeed and those who can create roadblocks to cause you to fail.

Stakeholder	Description	Needs	Motivations
User			
Customer			
Communicators			
Distributors			
Competitors			
Local leadership			
Other			

Problem Framing

User profile

Overview

- Create a composite profile of the typical person who experiences your identified problem

1 hour

Paper

Instructions

It is important that everyone on the team have a clear picture of what this person looks like. To create a realistic profile:

1. Start by **speaking to at least five potential users** in your identified problem area. You want to get them to open up about their lives and share their priorities and their motivations.

   To speak to users, try speaking to other UNLEASH SDG Talents, facilitators, and experts. You can also try reaching out to people in your network or in the network of your fellow UNLEASH SDG Talents, and contacting them by phone, Skype, or Whatsapp. See *Testing: Methods for Answering Questions* for more details.

   When speaking with your users, remember to be sensitive with their time and with what they share. They are an important part of the problem you aim to address, and the more that they share with you, the more likely you will be to create a workable solution that meets their needs. But also make sure that they have realistic expectations. They should know that you are coming in with a good heart, but success is not guaranteed.

   For user interviews, try to let the conversation flow as much as possible. Suppress any of your own personal preconceived notions about the problem, and simply try to record everything that you observe the user do and say. Ask for demonstrations or visual stimuli wherever possible.

   Above is an example interview form.

User ID		Interview	
Willing to follow up?		Date	
Type of user	*Describe in their words*	Location	
Question / prompt	**User statement**	**Interpreted need**	**Weight / importance**

2. **Synthesize their stories into a composite story** that gives a sense of a typical user:
   - Who is this person?
   - How does he / she do things currently? What pain or challenge does he / she face?
   - Why is this important to him / her? What emotions are expressed?
   - What is the timeline of the story?

Problem Framing

Prior attempts

Overview

- Outline what attempts your user has seen to address his / her needs, and why they did or did not work

2 hours

Computer, phone

Instructions

1. Speak to your users about the following points:
   - Has anyone attempted to address their needs before?
   - What did they like about these attempts?
   - What did they dislike about these attempts?

   When asking about attempts to meet your users' needs, be sure to ask about both what the attempt was and how it was implemented.
2. Search the internet to learn about attempts and solutions that have been tried in similar contexts.
3. If possible, contact those teams to see if they can share any lessons learned that could be pertinent to your problem framing. This can be a delicate issue, since the teams may be actively working on this problem and could view your interest in the problem area as potential competition. Focusing on understanding these teams' pain points can be one way to approach more delicate conversations.

Problem Framing

Addressable markets

Overview

- Outline the scale of your identified problem
- Estimate how many users you want to realistically reach

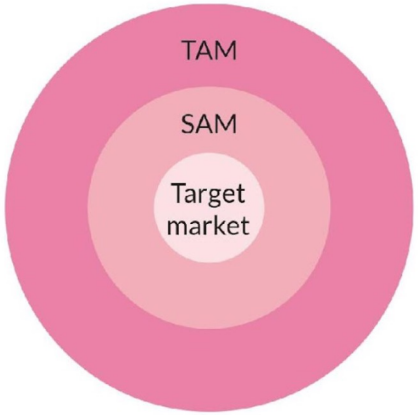
30 minutes

Computer, phone

Instructions

How many people experience the challenge that you are working on? Are you trying to come up with a global solution, a solution for one household, or somewhere in between?

Your **total addressable market (TAM)** is the number of people you could potentially reach if you reached 100% of people who experience this problem.



There are people in your TAM who you will not be able to reach, either because the infrastructure does not exist to reach them or because of social, political or economic constraints. How many people could you reach? This is your **serviceable addressable market (SAM)**.

You will not be able to meet the needs of your entire SAM, and any solution you develop will not achieve 100% adoption. You want to identify the people you are most likely to persuade to become users of your solution and therefore impact. This is your **target market**.

Estimate the size of your TAM, SAM and target market. At this stage, the figures will be rough, but as you move forward, you can go back to the assumptions that you make here and refine them to form a better understanding of your market opportunity.